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Financial Literacy

Fiscal planning may seem complex, complicated and time consuming, but all the advice that you'll ever need fits on an index card. This article explores GnuCash and GnuKhata, which are free and open source accounting applications.

In a documentary on why so many middle-class Americans have no savings (<https://goo.gl/Z8yKcJ>), one of the reasons cited was 'financial illiteracy'. This is a matter of concern for all us who do not have defined pensions in an increasingly insecure job environment. Often, people have to learn fast when a crisis hits them. The experience of one such person is given in the PBS report at <https://goo.gl/kSrQaf>. The presenter concludes that all the financial advice you need will fit on an index card!

It is not difficult to become financially literate. The best way to start is by keeping track of your own finances and investments. With that goal in mind, let's discuss two open source tools that can help you manage your investments.

GnuCash

GnuCash is the standard application included in most distributions to manage personal finances. It can also manage your investments quite easily. The following steps will create a GnuCash file for your accounts as well as the investments:

- Create a new file with INR as the currency.
- Enable the use of 'Trading Accounts'.
- Include the set of 'Investment Accounts' among the accounts that are to be created.

Trading accounts are very useful as you can enter the number of shares of a company that you have purchased. Your shares/securities will be valued at their current market rate.

Enter the information of the securities you own, as follows:

- Use 'Securities Editor' under *Tools* to create the securities you have.

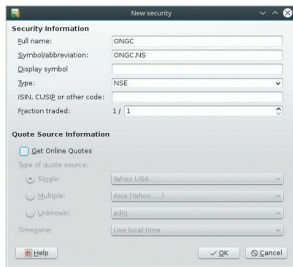


Figure 1: Creating a new security

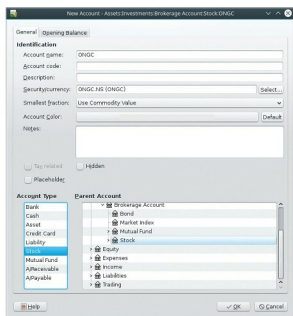


Figure 2: Creating an account for a security

- The symbol/abbreviation is used by GnuCash to get an online quote.
 - For stocks, you may use the symbol used by Yahoo, in case it makes its service available for Indian exchanges again.
 - For mutual funds, you can download the text file of all net asset values (NAVs) from amfindia.com. The first field in the line, containing the NAV of the mutual fund of interest, is the symbol.
 - The 'Type' is a text field for information only. It is useful for the grouping of securities. You may use NSE or BSE for Indian stocks, and AMFI for mutual funds.
- The option to get quotes online can be left disabled (see Figure 2).
- Now you can create accounts for the stocks and mutual funds you own, as follows:
- Create an account for each stock and mutual fund you own.
 - Choose the 'Parent Account' as 'Stock' or 'Mutual Fund' as per the security.
 - Choose the 'Account Type' as 'Stock'.
 - For 'Security/Currency', choose one of the securities you had entered above.

Now, you are ready to enter the

transaction details, as follows:

- Open the account for each security.
- Enter each detail related to the security—the date, the number of shares and the price. The number of shares is positive if you are buying and negative if you are selling. The system will compute the total cost of buying or selling, as the case may be.